

About Value Change Standard (VCS)

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Architecture: VFM® — Value Flow Mechanisms Architecture Category: Governance & Enforcement Subcategory: Value Lifecycle Governance Parent Standard: Value Change Standard (VCS) Governed Space: Value Change

Canonical Definition

Value Change Standard (VCS) governs when existing governed value has materially changed, what type of change has occurred, in which direction value has moved, how significant the change is, and how that change can be linked to relevant events, conditions, activities, or mechanisms.

VCS creates the governance layer between:

an established Value State

and

a material change affecting that value.

Its purpose is not to govern every event capable of affecting value.

Its purpose is to determine:

what happened to value as a result.

Why VCS Matters

Value is rarely static.

Assets deteriorate. Technologies become more useful or obsolete. Infrastructure gains or loses capability. Information becomes more relevant or less relevant. Operational improvements create value. Failures destroy value. Market, regulatory, technological, environmental, and organizational developments may materially alter value.

Traditional systems frequently observe these changes only after they become visible through:

price

transaction

accounting recognition

financial loss

or

another downstream event.

VCS introduces a more fundamental governance question:

Has the governed value itself materially changed?

This allows Value Change to be governed independently from the system that later prices, accounts for, transfers, taxes, insures, finances, or otherwise acts upon that value.

Governance Flow

Within VFM®, VCS occupies the sixth governed space:

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change

Its internal governance logic is:

Governed Value State → Reference State → Observed Value Condition → Difference Detection → Materiality Assessment → Value Change Identification → Change Type → Change Magnitude → Causation Link → Value Change Record → Governed Value Change

VCS therefore converts an observed difference into a structured and governable Value Change.

What VCS Helps Organizations Govern

VCS enables organizations to distinguish between:

Value State ≠ Value Change

Variation ≠ Material Change

Price Change ≠ Value Change

Transaction ≠ Value Change

Ownership Change ≠ Value Change

Accounting Recognition ≠ Value Change

Cause of Change ≠ Value Change

A Value Change may be:

positive or negative; monetary or non-monetary; temporary or persistent; reversible or irreversible; sudden or gradual; isolated or cumulative; context-specific; beneficiary-specific; operational, economic, physical, digital, strategic, or capability-based.

This allows the same governance structure to operate across fundamentally different forms of value.

Materiality and Reference

A governed Value Change requires a reference.

An organization must be able to establish:

what the value condition was

and compare it with:

what the value condition has become.

Not every difference needs to become a formal Value Change.

VCS therefore introduces materiality so that ordinary fluctuations, insignificant differences, measurement uncertainty, or expected variation do not automatically create governance events.

The principle is:

Observed Difference + Materiality + Governed Reference → Governable Value Change

Causation Without Overreach

VCS may connect Value Change to the event or condition associated with it.

For example:

Technological Development → Capability Increase → Positive Value Change

or:

Physical Deterioration → Capability Loss → Negative Value Change

But VCS preserves an important boundary:

the mechanism causing Value Change does not automatically become governed by VFM®.

This allows VFM® to interact with markets, accounting, banking, taxation, industrial systems, blockchain, regulation, technology, infrastructure, and other domains without attempting to replace their own governance systems.

Use Case 1 — Banking: Collateral Value Change

Before Default

A bank finances industrial equipment, infrastructure, commercial property, or another value-bearing asset.

Traditional monitoring may rely heavily on:

loan payments, market valuation, accounting records, periodic appraisal, and default indicators.

But the underlying value may begin changing before these indicators fully reflect what has happened.

An industrial asset may experience:

reduced productive capability

→ higher maintenance burden

→ lower operational availability

→ technological obsolescence

→ reduced economic usefulness.

VCS allows these developments to be represented as governed Value Changes relative to the previously established Value State.

The bank can distinguish:

the event affecting the asset

from

the resulting change in governed value.

This creates a potentially powerful additional layer for:

collateral monitoring, credit-risk analysis, asset lifecycle management, early-warning systems, and financing decisions.

Instead of waiting only for price, accounting, or payment signals, the institution can observe the governed evolution of the underlying value itself.

VCS makes Value Change observable before its consequences necessarily become visible as financial failure.

Use Case 2 — Space Mission: Value Change

Through Capability and Resource Optimization

A space mission contains many value-bearing objects and capabilities:

energy reserves

communication capacity

computational resources

scientific instruments

mission time

propulsion capability

stored data

operational redundancy

remaining component life.

Their value can change continuously throughout a mission.

Consider an onboard computational system.

A new optimization reduces the computational resources required to perform a mission-critical analysis while preserving the required operational outcome.

The physical computer has not changed ownership.

There may be no market transaction.

There may be no immediate accounting event.

Yet the mission has gained something materially valuable:

additional available computational capacity.

VCS can govern:

Previous Computational Value State → Optimization Event → Reduced Resource Consumption → Recovered Available Capacity → Positive Value Change

The same logic can operate in the opposite direction when radiation damage, component degradation, energy loss, communication constraints, or mission conditions reduce usable capability.

This makes VCS applicable where value means not merely money but:

mission capability, resource availability, operational usefulness, resilience, and achievable outcomes.

In environments where every kilogram, watt, computation, minute, and capability matters, Value Change can exist long before anyone assigns it a price.

Enterprise Value

VCS provides organizations with a common governance structure for observing how value evolves through time.

It can support banking, insurance, infrastructure, industrial operations, investment, digital assets, AI systems, public assets, resource management, mission systems, and future value-based economic mechanisms.

Most importantly, VCS separates the fundamental event:

value changed

from the many downstream systems that may later decide:

what it is worth

how it should be accounted for

whether it should be taxed

whether it should be financed

whether it should be insured

or

what action should follow.

That separation makes Value Change reusable as a governed input across multiple systems without allowing any one of those systems to define value universally.

Foundational Principle

VFM® does not need to govern every event that changes value; VCS governs what materially happened to value when that event occurred.

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Related Documents

[→ Value Change Standard \(VCS\)](#)

[→ VFM® Complete Standards & Modules Index](#)

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